Functional Specification Document

Core Banking Implementation

Document History & Approval

VERSION	COMPLIED BY:	DATE
v1.1		10-Jan-2026

Approval/ Sign Off

The signatures below indicate that this business requirement document captures all system requirement.

Reviewed By:

NAME	DEPARTMENT	SIGNATURE	DATE

Approved By:

NAME	POSITION	SIGNATURE	DATE

List of acronyms

DD+7 Due date plus 7 days

TAT Turnaround Time

SME Small & Medium Enterprises

GL General Ledger

CRB Credit Reference Bureau

LACE Loan processing fees

PIN – Kenya Revenue Authority Personal Identification Number

KYC – Know Your Customer

PEP – Politically Exposed Persons

AML – Anti Money Laundering

FX Transactions – Foreign currency transactions

NBV – Net Book Value

C2B – Customer to Business

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Introduction

The Company is a non-bank financial services company that offers tailor made bridge finance solutions (loans) to Small & Medium Enterprises (SMEs) and professionals in Kenya.

The Company started its operations in 2014 and currently has 9 branches across the country.

In order to support the intended growth, automation of processes forms a critical part of our journey which commences with an implementation of a robust core banking software to serve as the primary application for transaction processing and reporting.

This document describes the requirements of the Company in the core banking system solution that is to be offered by Eazy Books.

Key Business Objectives

- Ease of customer management.
- Reduce TAT in processing applications.
- Introduce efficiencies throughout the customer journey and lending process.
- Ease of Financial Reporting.
- Improve document management (storage & retrieval).
- Provide a platform that will provide customers with real-time update on performance of their facilities as well as system users on their various department duties.

Key Business Drivers

Our business drivers are:

Efficiency	As a company, we need all processes automated for us to achieve operational excellence. Efficient processes through automation will help us assign resources rightfully for maximum productivity.
Business growth	Systems efficiency will allow us focus more on growing our business through finding new avenues to increase our revenue streams thereby ensuring sustained profitability and growth of the company.
Profitability	Improved systems and platforms will allow us to be able to minimize all gaps that bring about unnecessary operational costs while meeting our customers' needs thereby increasing our net profit turnover.

Project Scope

Area	In- scope
Core Banking System upgrade that allows interoperability with our other 3rd party systems to drive efficiency and value in our processes	○ Onboarding and Customer Management ○ Loan Management ○ Finance & Financial Reporting ○ Placement/Borrowings Management ○ Trade Finance/ guarantee Business ○ Document Management ○ Risk and Audit Management ○ Information Technology ○ Integrations

Company Name	Number of Branches	Current System	Current Modules
(Insert Company Name)	0. Central Office 1. Nairobi 2. Mombasa Rd 3. Kitengela 4. Thika 5. Mombasa 6. Eldoret	(Insert Current System)	Finance Credit Placements Risk & Audit ICT

Key Assumption

- All data from the old core banking system will to be migrated accurately and successfully into the new core banking system (Eazzy Books)
- All 3rd party systems will successfully integrate with the new core banking systems via API.
- All system workflows, settings, special condition will be successfully restored upon successful implementation of the core.
- All customer instructions will be managed by the core banking system henceforth.

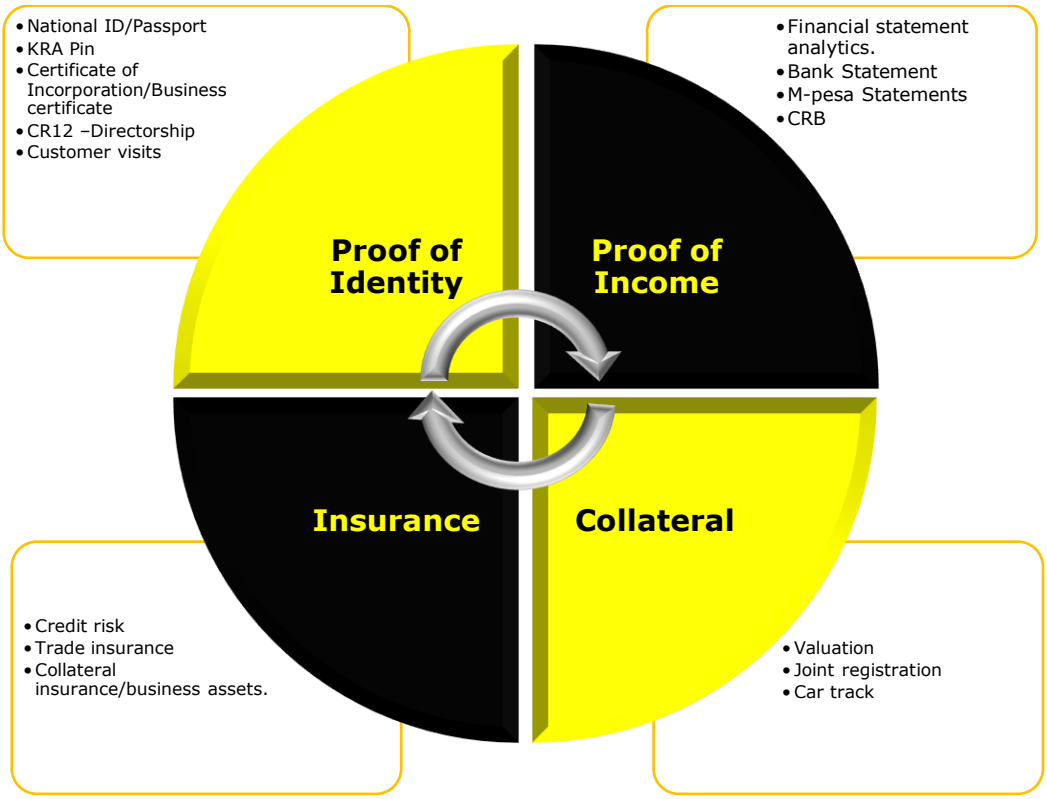
Customer Journey

Credit is the core function of the Company and all processes are aligned to the mission and vision of the company.

To create the desired value, all customers are onboarded through a process of KYC validation, a credit risk analysis is conducted to ascertain affordability of the loan applicant, all documents are reviewed and verified to the required standard before the collateral is perfected and a loan limit is awarded by the credit committees.

The customer journey also promotes post disbursement activities that monitor the performance of the loan to encourage repeat business as well as consumption of other products under the product profile of the Company.

Our Logical Loop



Onboarding - KYC and Facility Documentation

Requirement Subject	Requirement Description
Onboarding	Customers are onboarded through a facility application. The Core banking system should be able to capture and store the onboarding data after approval. A maker/checker process should be in place for any capture or amendment of static data on the core banking system.

Capturing of Customer Static Data (KYC)	System should allow capturing of customer details as follows **NOTE:** All field in bold are mandatory fields Client Personal Information (KYC) expected fields. **- Classification – (SME (Small, Middle, Large), Retail (Mass, Middle, HNI, Civil Servant)** **- Salutation** **- Full Name (As per ID)** **- Gender** **- ID Number / Local/ Alien** **- PIN** **- Date of Birth** **- Marital Status** **- Primary Phone Number** **- Secondary phone number** **- E-mail Address** **- Industry / Sector (Pull down menu to be provided)** **- Nature of Business** **- Business Address** **- Current Home Address** **- Bank Details** **- PEP (Politically Exposed Person)** **- Relationship Manager/Code** **- Relationship Manager Staff Number** **- Agent Registration – Name/ Code/ KRA pin/ Phone No / ID No** **- Branch Code** **-Employer name** **-Bank details** (Company) **- Classification – (SME, Corporate)** **- Full Company Name (As per Certificate)** **- Registration Number** **- PIN** **- Date of Registration** **- Primary Phone Number** **-** Secondary phone number **- E-mail Address** **- Industry / Sector** **- Nature of Business** **- Business Address** **- Directors Details (Name, ID number, Phone number date of birth) and Signatories** **- Bank Details** **- Risk Factor** **- PEP (Politically Exposed Person)** **- Relationship Manager** **- Branch Code**

	Next of Kin Information **- Full name** **- Relationship** **- Phone Number** -**Email Address** -**Home Address** Image capture **- ID Front** **- ID Back** **- Customer Photo** **- Customer signature** - **KRA pin** -**CR12** -**Certificate of Incorporation** - Other Relevant Documents Guarantor Details **- Full name** **- ID Number** **- PIN** **- Relationship** **- Phone Number** **-Home Address** **- Email Address**

Credit Operations

Member Account Creation

Requirement Subject	Requirement Description
Member account creation	The main features required for onboarding the various types of customers that the Company maintains are shown below; Ability to capture customer and next of kin information that should include (but not limited to) the following: . Customer Name . Contact Details (telephone, location, etc.) Mandatory . Date of birth . Identification details (See KYC data on the above onboarding module)
	Ability to update the customer static details through a maker checker process as and when required to keep the account information up to date.
	Ability to maintain an audit trail of all changes to the customer static details

	The Company maintains a list of blacklisted customers, the system should have the capability to validate customer (new and old) against a blacklist
	Ability to have a single, comprehensive view of the customer showing all relationships the customer has with the Company, whether as an account holder, signatory, agent, shareholder, guarantor etc.
	Ability to identify existing customer data (ID Number, phone number, KRA pin if captured for a second time through a message pop up so that the same is linked to related parties/accounts.
	Ability to interrogate the customer static details and identify possible duplicates (The system should be able to flag an existing ID, Phone number at the point of onboarding from whichever branch.)
	Ability to merge duplicate customer accounts while maintaining
	Ability to prevent duplicate creation of the same customer through a Company-defined unique identifier such as id number, biometric, company registration number, etc. An ID should not be registered twice in the system.
	Ability to capture customer's images and signatures at the point of creation of an account.
	Ability to generate reports of all details captured during creation of customer ID & account number.
	Ability to link related parties to customer identifications
	Ability to prompt for additional information where the customer is identified as (POLITICALLY EXPOSED PERSONS) PEP
	Ability to manage different customer types: A – Individual / Local or Foreign B - SME C - Corporate D - Cooperatives E - NGOs F - Investment Groups I - Public Institutions
	· Ability to transfer account from one branch to another
	· Customize account numbers so as to match the accounts across the Company.
General Accounts Information	Ability to capture the following account details. These include (but not limited to) the following: . Customer Name . Account Number . Type of Account . Internal Account Name . Customer Identification Number . Authorized Users

Image, Signature & mandate Verification	The main features required for the signature verification system are shown below: · Ability to capture the signatures and image (photos) on the account number. · Ability of the system to capture the date when the data on the system was recorded together with the user's identity · Ability to allow for amendment or change of the images held on file · Ability of the system to store images and signatures that have been amended. · When the signature is displayed, ability of the system to display an abbreviation of the mandate instructions e.g., any one to sign, all to sign, one signature from "A list" and one signature from "B list" etc. · When a customer has another account then it should be possible to retrieve data from the other account for the new account · Ability to view on-line information about the agent · Ability to link or group accounts and maintain group information like director's information, shareholder information etc.

Loan Maintenance & Disbursement

Requirement Description
The system should be able to capture the following information: · Customer name · Customer's address & Contact Information · National identity number/ Tax Identification Number · Proprietor/company directors/partners shareholding percentages · Customer's operative account number (should automatically link to a loan account) · County of borrower · Resident of borrower -Rural, Urban, Peri urban · Interest – fixed and variable · Loan repayment dates · Repayment schedules · Type of business category · Sector · Type of facility · Security description including valuation date, and revaluation date **Collateral insurance details:** Name of insurance company, Insurance agency, Date of insurance of the asset, Insurance expiry dates, Type of cover (Third party, Comprehensive, Owner's goods, General cartage. Document upload (copy of title deed, copy of logbook, valuation report, Insurance endorsement, copy of offer letter, change of agency form). The system should be able to provide these details in a report as well per customer, per loan and a pop-up dashboard for collaterals insurances that have expired.

- Approved facility limit
- Facility Type
- Currency (Ksh/FCY)
- Loan tenor/ period
- Employer Name
- Age
- Gender
- Income brackets.

Guarantor details – Name of guarantor (s), Email address, Phone number, Relationship to the principal borrower, Physical address, postal address, and amount that the guarantor has committed to guarantee.

Agent details - Some loans are referred by agents who are not staff, the loans are then managed by relationship officers. The system to be able to provide a field to capture below agent details during loan maintenance.

*- Mandatory field

- Agent Full Name *
- ID No*
- KRA pin*
- Phone Number*
- Email address

The agent can either be maintained during member creation then tied to the loan they refer or during loan maintenance, if an agent has referred more than one loan, it should be clear to identify and separate each loan tied to them.

Cheque details capture – Ability for the system to capture post -dated cheque details for every loan application noting the date due to be banked. A report pop-up of the customer and cheques to be banked should pop daily on the dashboard for credit operations officers, who should then extract it for reporting per branch.

Details of cheque to be captured

- Customer name
- Customer phone number
- Relationship officer
- Branch
- Installment date
- Installment Amount
- Loan classification

Agent/ Staff commission payment:

The system should have the ability to maintain parameters to track commission payment to staff or agent who bring in loans. The commission is paid as a percentage of the loan amount disbursed. There should also be a report generated daily showing all loans disbursed with the customer details, branch loan details relationship officer, commission payment rate, amount and the staff or agent being paid with their payment details

(whether bank or M-Pesa no. as well as the Tax percentage deductible and actual tax amount.
The system should support below activities. . Restructure . Top ups . Overdrafts . Refinance
Ability for the system to capture static data details for the guarantor
Ability to maintain any insurance required as part of the agreement in the system and monitored for renewal.
Send SMS alerts to clients for expiring insurance and avail daily report.
Ability for workflow to generate disbursement / stage disbursement request when all pre-disbursement conditions are met
Ability to generate a printable disbursement receipt showing all charges debited from the amount disbursed
Ability to identify and link related parties
System should be able to generate offer letters and fees schedule per customer (as per the templates shared)

Interest (Interest & Penalty)

Requirement Description
Calculate interest for the account in accordance with the interest rate structure in force for the product that defines the account (Flat rate, Reducing Balance)
Calculate interest accrual entries on 365 days (considering a leap year)
Prioritization of loan repayment/recovery is Penalty Interest >> Normal Interest >> Principal
Apply the interest on non-performing accounts to interest suspense account (applies to interest and penalty)
Suspension of interest for non-performing account (normal and penalty). The system should be able to suspend interest for non-performing accounts (any account that goes unpaid for 90 days) and equally adjust the position on repayment.
Map the breakdown of interest, penalty and any other charge income posted to respective GL per loan account
Automatically recalculate loan schedules after changes to interest rates and / or tenor.
Ability to automatically recalculate the loan repayment schedules after changes to interest rates or tenor on the basis of either:
- Maintaining the current final repayment date for the loan, with consequent modification of the repayment amount.
- Extending the remaining term of the loan, so the recalculated loan term reflects the period required to amortize the loan at the current, or a specified, repayment amount
Ability to suspend interest & penalty for NPL accounts, post to respective suspense GL and post to respective income GLs upon payment.
Automatically reclassify non-performing loan accounts after payments have been made (Normal, Watch, Substandard, Doubtful, Loss.)
Daily accrual of normal interest and penal interest i.e., debit int. receivable credit int. income for performing loans

Daily accruals of suspended normal interest and penal interest i.e., debit int. receivable credit suspended int.
Automatic calculate interest based on days between installment (Daily interest accrual)
Automatically check the breach of the in duplum rule, where breached, flag the accounts and share report.
Allow to set a maximum for related parties and do not allow booking of any additional loans. (Maximum loan accounts allowable are 3)
Ability to send alerts and notifications to email of concerned parties
Automatically send SMS, emails notifications to clients on upcoming installment dates, insurance expiry dates.
Allow use of customized interest rates per account under maker checker process.

Fees and charges

Requirement Description
Ability to charge fees and charges as per the product specification that include; o Lace (Loan Processing Fees) o Insurance Risk Fund o Bank charges/ RTGS o CRB Fees o Legal stamp fees o Membership fees o Tracking fees – Should be charged monthly o Valuation fees o Insurance premium charges o Company search fees
Ability to deduct fees monthly as required (tracking fees and insurance premium)
Ability to Cleary show the fees debited from the loan account.
Ability for the fees to affect the principal balance and be cleared as principal amount
The system should be able to capture other charges related to an existing facility such as additional storage fees for a repossessed collateral, the fees captured should be visible on the customers loan statement and should be part outstanding balance that a customer should pay.

Loan Repayments

Ability to maintain various repayments frequency as, Daily, Weekly, Fortnightly, Monthly, Quarterly, Termly, Half-yearly, Yearly, bullet etc. The system should provide a report showing expected repayments per month for all products.
Allow for repayment schedules with diverse frequencies (principal & interest, interest only, bullet interest and principal)
The system should allow for early settlements on loan accounts and surcharge as per the respective product
The system should maintain a standard repayment amount based on the term of the loan, current interest rate and loan balance as per the loan schedule
Allow the system to accept Lump sum repayments to the principal.

The system to allow posting of payments in selected loan accounts where the customer has more than one loan account.
Allow change of repayment dates through a maker checker process
Allow for loan re-scheduling i.e. dates and amounts
The system provides early settlement statement including the loan balance, including all necessary fees as per the respective loan product
Automatic deduction of due loan installment from the member collection account
Ability to provide a controlled process for closure of a loan account, including: . Automatic charge of agreed interest at the point of account closure especially instances of early settlement. . Automatic generation of closing account entries . Termination of periodic payments such as tracking fees / insurance premium upon loan account closure . Notification to credit reporting agency CRB . Issue of clearance letter to customer(s) . Release of securities . Cancellation of insurances
Ability of the system to allow reversal and closure loan accounts with interest /penalty in suspense and receivable
When repayment is received it should be posted in the system which should automatically generate the appropriate entries to adjust the loan balance in this order; Penalty>>Interest>>Principal. In case of collateral disposal, the repayment should follow this order; Principal>>Interest>>Penalty.
Ability to avail loan settlement statements with ability to charge future interest automatically
Ability to stop interest or suspend interest even for performing accounts with approval
Clearly display the closing balance of a loan, the interest posted to income, suspended interest, normal accrued interest, accrued penal interest other charges such as tracking, repossession, storage fees

Check off

Ability to book the loan as per the product specification and disburse gross amount to the customer
The system should have the ability to capture check off customer employers from a drop-down list which should be pre maintained.
No penalty interest charge on this product
Ability for user to view monthly repayments break down in terms of interest, principal, credit life, admin fees, insurance
Ability to allocate instalment to the respective ledgers based on the remitted byproduct
Ability to post bulk payments and auto reconcile

Security/ Collateral Management

Avail a register of all securities provided by each loan account and attach multiple securities to a specific loan account

Ability to identify if the security is for the guarantor or principal borrower and include contact name and collateral details
Ability for the system to identify and report where loan values are greater than securities registered
Ability to see loan to value per loan account
Ability to avail expired insurance and valuation report for renewal and revaluation such that the facility will indicate as unsecured at that point
Ability for the system to handle a security offered in support of many loans and a loan supported by more than one security (shared collateral for multiple loans)
Ability for a customer to replace one security with another, subject to appropriate fees and government charges and necessary approvals
Ability to release individual security subject to the outstanding loan balance
Ability for the system to provide Loans for valuation and revaluation of securities including shares based on valuation expiry dates.
Does the system cater for diary lists e.g., for reminders for need for revaluation of securities and renewal of insurance?
Can the system produce instruction advice for the preparation or renewal of security documentation, and record the current status of these preparations in progress
Avail the range of details relating to securities (including but not limited to) the following: (a) Motor Vehicle (b) Land Titles (c) Debentures (d) Letters of Set- Off (e) Guarantees & Indemnities (f) Treasury Bills and Bonds; (g) Shares (h)Others
The system should be able to capture the following collateral details: • Name for the collateral owner/ holder • Location of Collateral • Collateral Value (OMV, FSV and Insurance Value) • Identification number or Certificate number of the collateral • Detailed description of the Collateral • The Last valuation date of the collateral

Restructuring/ Rescheduling

Ability to reschedule loan facilities
Ability to restrict the restructuring of a particular account to maximum of 3 times.
Ability to generate an alert and or error message if a particular account is to be restructured beyond 3 times.
Ability to distinguish between a restructure and any other amendments done on an account e.g., change in interest rates, reduction/increase in loan tenor, etc.
Ability to automatically recover restructuring fees once the restructure is done.

Provisioning

The bad loans should be classified as per the Company's policy guidelines below: · Normal · Watch · Sub standard · Doubtful · Loss
Ability to suspend accrued interest to the Company's interest in suspense account(s) for accounts classified as non-performing.
Create specific provisions report for loan accounts.

Recoveries and collection

Ability to maintain an accurate position of scheduled repayments versus actual repayments such that deviations from the schedule can be detected and actioned promptly.
Ability to provide a diary for recording of collections activity. (Notes per account)
Ability of the diary to allow recording of free form text, system events (such as issue of correspondence) and external events (such as telephone contact)
Ability to generate customer correspondence, including reminder letters, notice of default etc., automatically generated by the system in accordance with defined parameters
Where the Company enters into special collection arrangements with the customer for reduction of outstanding debt, these arrangements monitored by the system and non-compliance reported to debt recovery. (Pop ups)
Ability to charge fees for overdue accounts in accordance with the product definition i.e., tracking fees, repossession, storage, advertisement, tracker tampering.
Ability for the system to update /report on accounts with matured credit life.
Ability to charge penalty interest on any outstanding amounts in accordance with the product definition 7 days past due date. (Applies to all products)
Ability to avail facilities for notification to the Credit Reference Bureau of overdue payments and serious credit infringements according to defined parameters
Ability for the system to maintain a history of arrears for each account
Ability to manually stop any interest accrual on non-performing loans classified that are beyond 90days in default per account.
Debt Recovery The system should have the ability to generate below notices as per the templates shared. Demand Notice Proclamation & repossession notices Sales notices – Email & SMS Disposal of assets, provision for upload of disposal of assets forms and documents. **Debt recovery reports** o System should provide a report showing all accounts under the debt recovery classification (90 days and above) with all customer, loan and relationship officer fields. o Report showing the loan account in default and the collateral type o Report showing loan account balances and the collateral value

Accounts Under Litigation

Ability to flag & show accounts that are under litigation.
Ability to manually stop any interest accrual on accounts under litigation on approval

Insurance

Ability to capture the following information - Insurance Company - Sum Insured - Premium Paid - Receipt Number - Type of insurance - Policy number - Policy start date - Policy expiry date
Ability to amend policy start and expiry date on renewal for active loan accounts.
Ability to automatically recover the premium due from the customer's operative account
Ability to generate alerts for insurance premium due to expire within a given "N" period
Ability to track claims against insurance companies especially credit life and Collateral written off

Written Off Portfolio

Ability to pass the necessary entries for write off. In view of all appropriate GLs (Suspense and receivable)
Ability of the system to nil off any remaining provisions and interest in suspense after write-off
Ability to automatically flag/ show a written off status for a closed loan account
Ability to maintain a diary of the amount written off
Ability for the system to place a lien equivalent to the written off balance on the member operative account(s)
Ability to automatically recover funds from a member account whose loans have been written off
System should not overdraw member accounts or overpay loan accounts – whether manually or automatically.

Reporting

Automatically generate real time reports at set times and save them
Provide budget information for credit facilities with Month to date, year to date, variances, amounts, repayments, par etc.

Avail statical reports covering Loan applications, interest rates fees and charges (including Discounted fees)
Loan disbursement report including outstanding balances reporting by location, industry, loan type, age, income breakdowns/contact
Classify loan portfolio by industry/amounts/securities/currency/tenor/interest rate/Monthly instalment/Interest/ principal /penalty balances/collateral number/employer name /collateral market value and forced sale value/retirement date or other defined parameters/instalment due
Report on balances/repayments overdue and/or in excess of the amount sanctioned, together with the amount and number of repayments overdue
Report on outstanding loan balance including, principal balance accrued interest/penalty receivable, interest /penalty posted to income, suspended /penalty interest on all facilities as at a specified date.
Report of accounts where the interest has been stopped showing the: · customer's name · Account number · Date interest was stopped · Reason for interest stoppage · Type of facility · Amount
Provide a list of credit facilities balances or installments due for payment within a user specified period
Provide the printing of letter quality: (Overdrafts) · Notice of drawdown · Initial drawdown · Interest payment due · Insurance premium due · Repayment due · Notice of renewal · Maturity
Report the credit exposure by: · Branch · Region · County · Town (classify as urban, peri urban, rural) · Consolidated · Country · Industry · Interest rates · Collateral type · Gender /Registered Business · Type of business status e.g., partnership etc., · Loan type · Employer · Sectors · Income
Report on rescheduled facilities and rescheduled dates together with the resulting rescheduled payments

Report on non-performing accounts with: · Name of borrower · Contact · Employer name · Principal outstanding · Interest outstanding · Penalty interest outstanding · Instalment amount · Type of facility · Days in arrears · Loan ageing category -Normal, watch, substandard, doubtful, loss · Collateral attached to loan · FSV of collateral attached to loan · Date amount due
Report on any changes to the interest rate on accounts on a daily basis
Report on transactions input on a daily basis to all recovery accounts
Inquire on the history of a customer facilities over the last 7 years
Report on loans and advances secured by each security type
Print separate lists for outstanding balances for each type of facility together with the interest/penalty posted to income and suspended.
Ability to generate a report showing the total exposure of the client showing both the On and Off-Balance sheet items e.g., loans, guarantees, LCs, overdraft
The arrears report should breakdown the arrears between the principal, interest, penalty, and other charges that make up the current arrears position
Ability to spool department/product/branch performance reports showing the income (interest, non-interest) that has been off a customer/ account?
Generate a report of the off-balance sheet items like guarantees, letters of credit etc.
Provide a report showing the income earned from each loan account in a given period
Ability to send out alerts for exceptional behavior on some accounts e.g., loan instalments that haven't fallen due, interest that hasn't been applied, payments liening in member account past due date.
Segmentation of the loan book on various set parameters like employer, business units, regions, age, income, region, sector
Report on daily repayments. (Separate third-party payments & Client's payments)
Insurance expiry report
Report for all exceptions per product generated monthly
Revenue assurance report

Special Conditions

Ability to suspend interest for performing accounts but still charge on client's account.
Manual intervention to repay principal, interest and penalty for specific accounts that are non-performing.
Ability to flag a loan account that has commission paid and to include agent details
Ability to stop interest & penalty charge on a loan account
Avail option for automatic interest and penalty waivers
Avail option for charging interest on early loan settlement automatic charging as per specified number of months and pay off of the same.

All transaction posting must be tagged to a specific loan number or member number.
Ability to flag access by staff to accounts not tagged to them, either per product, department, high level accounts or access to reports/GLs.
Maker and checker ability that is departmental.
Ability to see maintainer(makers) and approver (Checkers) on reports.
360 View of a client in one window
Client anniversary dates and client birth dates, should provide filters to mark for who should receive notifications.
No overdrawing of loan or member collection account.
Is the system able to capture maturity dates for a customer with overdraft facilities
For preferential charges, can the system allow for capturing the same at customer and not at account or product level under maker/checker.
Ability to provide alerts and reminders to relationship managers of loan obligations that are to fall due in the near future - timeframe to be defined by the Company
Ability to capture date reviews/changes and automatically charge a review fee on the defined due date
Ability to capture preferential charges at customer and not at account or product level
The system should not allow for automatic overdrawing of member accounts and neither should it allow for an overpayment of loans.
Ability to charge other fees monthly

Loan Products and Behavior

Loan Products

1. Business Loans
    a) Monthly installments (Principal & Interest) -Tenor 24 months
    b) Bullet interest & Bullet principal – Tenor 3 months
    c) Monthly interest paying & bullet principal -Tenor 3 months
    d) Reducing balance (partners)
2. Check-Off Loans
3. Supa Salo
4. Quick Cash
5. Executive Advance
6. Import Duty Finance
7. Mathree Loan
8. Staff Loan
9. Study Abroad Loan
10. Wasanii Boost

Loan Accounting Rules

The accounting rules have stipulated the transactions that will be processed by the core banking solution based on the interest accounting basis applied for the Company's loan products.

Business Loan

a) Business Loan – Tenor 24months

Repayment on monthly basis both principal and interest component as per the loan schedule.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly		3.5-5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company searches fees	1,500	

Loan Disbursement

Dr: Business loan account GL (Amount financed to customer)
Cr: Member Collection account

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL (Specific Product)
Cr: Interest Income GL (Specific Product)

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charged on a Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Interest Payment on a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty payment - a Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment - a non – Performing account

Dr: Member Collection account

Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

b) Business Loan –Bullet interest & bullet principal -Tenor 3 months

Repayment on this facility type is made at the end of the agreed period for both interest and principal.

Account accrues daily and upon maturity if the account is funded it posts the interest payable to income GL, if the account is not funded its posts the interest payable to suspense GL

Product Fees	One off payment	Monthly Charge
Interest rate Monthly		3.5-5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company searches fees	1,500	

Loan Disbursement

Dr: Business loan account GL (Amount financed to customer)
Cr: Member Collection account

Dr: Member Collection account
Cr: Bank Account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)-Upon Maturity

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Non – Performing account (91st day)-if account is not funded upon maturity

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Payment of a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date)-if account is not funded upon maturity

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

c) Business Loan –Monthly interest paying & bullet principal -Tenor 3 months

Repayment on this facility type is such that the client pays interest monthly with principal due on maturity of the tenor.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly		3.5-5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company searches fees	1500	

Loan Disbursement

Dr: Business loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)

Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account) - Monthly

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid

Dr: Member Collection account
Cr: Interest Receivable GL

Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Payment of a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge on Interest (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty payment a Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge on Interest (charged 7th day past due date) non-Performing account

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

d) Business Loan –reducing balance (partners)

Repayment on this facility type is made monthly for both interest and principal on reducing balance interest calculation method.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly		3.5-5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company searches fees	1500	

Loan Disbursement

Dr: Business loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charged on a Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Interest Payment on a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty Charge (charged 7th day past due date) non-Performing account-91st Day

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment on a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Check off

Monthly instalment is computed as below.

Total installment per month = Installment(P+I) + Insurance + Admin fee + Processing fee

Product Fees	One off payment	Monthly Charge
Principal		
Interest rate Monthly (flat rate)		2.5%
Loan processing fees		3%
Risk Fund		2.5%
Ledger Fees		150

Loan Disbursement

Dr: Check off loan account GL (Amount financed to customer)
Cr: Member Collection account

Dr: Member collection account

Cr: Bank

Loan Charges (performing account) as per repayment schedule

Dr: Interest Receivable GL
Cr: Interest Income GL

Dr: Loan processing fee receivable GL
Cr: Loan processing fee Income GL

Dr: Risk Fund Receivable GL
Cr: Risk fund GL Liability GL

Dr: Ledger Fees Receivable GL
Cr: Ledger fees Income GL

Loan payment (Performing account)

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Member Collection account
Cr: Loan processing fee receivable GL

Dr: Member Collection account
Cr: Risk Fund Receivable GL

Dr: Member Collection account
Cr: Ledger Fees Receivable GL

Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Dr: Loan processing fee receivable GL
Cr: Loan processing fee Suspense GL

Dr: Risk Fund Receivable GL
Cr: Risk fund GL Suspense GL

Dr: Ledger Fees Receivable GL
Cr: Ledger fees Suspense GL

Payment of a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Dr: Member Collection account
Cr: Loan processing fee receivable GL

Dr: Loan processing fee Suspense GL
Cr: Loan processing Income GL

Dr: Member Collection account
Cr: Risk Fund Receivable GL

Dr: Risk Fund Suspense GL
Cr: Risk fund Liability GL

Dr: Member Collection account
Cr: Ledger Fees Receivable GL

Dr: Ledger Fees Suspense GL
Cr: Ledger Fees Income GL

Supa Salo

Repayment on monthly basis both principal and interest component as per the loan schedule.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company search fees	1,500	

Loan Disbursement

Dr: Supa salo loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid on a performing account
Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charged on a Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Payment of Interest on a non- performing loan

Dr: Member Collection account

Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) - Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty payment on a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Overdraft Facility

Repayment is based on monthly utilization/ drawdown with interest on drawdown amount payable on monthly basis.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		5-7%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company searches fees	1,500	

Loan Charges Amount

Dr: Loan Overdraft Account (Total Loan Charges Amount)-from the Set OD Limit
Cr: Member Collection

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Loan Disbursement

Dr: Loan Overdraft account (Drawdown Amount)
Cr: Member collection account

Dr: Member collection account (Drawdown Amount)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid on a Performing Account

Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charged on Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Interest Payment of a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty paid on a performing Account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account-91st Day

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Executive Advance

Repayment on monthly basis both principal and interest component as per the loan schedule.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		5%

Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company search fees	1,500	

Loan Disbursement

Dr: Executive loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid

Dr: Member Collection account
Cr: Interest Receivable GL

Interest on Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Payment of interest on a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty paid on a performing Account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account-91st Day

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Import Duty Finance

One month loan facility.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company search fees	1,500	

Loan Disbursement

Dr: Import duty finance loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charge on Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Payment of Interest on a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty paid on a performing Account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Mathree loan

Repayment on monthly basis both principal and interest component as per the loan schedule.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company search fees	1,500	

Loan Disbursement

Dr: Mathree loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid

Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charge on Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Interest Payment of a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty paid on a Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account – 91st Day

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Staff loan

Repayment on monthly basis both principal and interest component as per the loan schedule.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (reducing balance)		1.5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	n/a	
Risk Fund	1%	

Loan Disbursement

Dr: Staff loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Risk fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charge on Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Interest Payment on a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL

Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty paid on a Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account (91st Day)

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment on a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Asset Finance

Repayment on monthly basis both principal and interest component as per the loan schedule.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		4.5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	

Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company search fees	1,500	

Loan Disbursement

Dr: Asset Finance loan account GL (Amount financed to customer)
Cr: Member Collection account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB Fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Insurance sinking fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charge on Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Interest Payment on a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty paid on a Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account (91st Day)

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Payday Advance

Repayment on monthly basis both principal and interest component as per the loan schedule.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		4.5%
Penalty Rate (monthly) DD+7		3%
Membership fees	1,000	
Loan application fees	3%	
Risk Fund	2.5%	
Tracking fees		2,000
Legal Fees	500	
Bank transfer fees	1,000	
CRB Fees	300	
Company search fees	1500	

Loan Disbursement

Dr: Payday Advance loan account GL (Amount financed to customer)
Cr: Member Collection account

Dr: Member Collection account
Cr: Bank Account

Loan Charges

Dr: Member collection account (Membership fee)
Cr: Membership fees GL (Income GL)

Dr: Member Collection account (Loan processing fee)
Cr: Loan processing fee (Income GL)

Dr: Member collection account (CRB fees)
Cr: CRB Commissions GL (Income GL)

Dr: Member collection account (Legal Fees)
Cr: Legal stamp fee GL (Income GL)

Dr: Member collection account (Tracking fees)
Cr: Tracking fees GL (Settlement GL)

Dr: Member collection account (Risk fund)
Cr: Insurance sinking fund GL (settlement GL)

Dr: Member collection account (Insurance premium)
Cr: MCA subsidiary payable (Settlement GL)

Dr: Member collection account (Company search fees)
Cr: Search fees GL (Settlement GL)

Dr: Member collection account (Net amount payable to client)
Cr: Bank

Interest Charge (Performing account)

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Non – Performing account (91st day)

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Payment of a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date) Performing account

Dr: Penalty Receivable GL
Cr: Penalty Income GL

Penalty paid on a Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Penalty Charge (charged 7th day past due date) non-Performing account

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Insurance Premium Financing

Repayment on monthly basis both principal and interest component as per the loan schedule. First loan instalment is payable before loan disbursement.

Product Fees	One off payment	Monthly Charge
Interest rate Monthly (flat rate)		2%
Penalty Rate (monthly) DD+7		3%

Loan Disbursement

Dr: Insurance premium Financing loan account GL (Amount financed to customer)
Cr: Member Collection account

Dr: Member Collection account
Cr: Assurance premium GL

Any account falling due, and the member account is non funded should be classified as non-performing account.

Interest Charge (Performing account) If the account is funded

Dr: Interest Receivable GL
Cr: Interest Income GL

Interest paid
Dr: Member Collection account
Cr: Interest Receivable GL

Interest Charge (Performing account) If the account is non- funded

Dr: Interest Receivable GL
Cr: Interest Suspense GL

Payment of a non- performing loan

Dr: Member Collection account
Cr: Interest Receivable GL

Dr: Interest Suspense GL
Cr: Interest Income GL

Penalty Charge (charged 7th day past due date)

Dr: Penalty Receivable GL
Cr: Penalty Suspense GL

Penalty payment a non – Performing account

Dr: Member Collection account
Cr: Penalty Receivable GL

Dr: Penalty Suspense GL
Cr: Penalty Income GL

Trade Finance

Definitions

Trade Finance – is the provision of any form of financing that enables a trading activity to take place, this includes Local purchase orders, Local Service Orders, provision of bank guarantees, bid securities, performance securities and advanced payment guarantees to enable contractors and suppliers meet contractual terms.

Cash Margin – non-interest earning deposit held as security for a loan/guarantee issued to a customer.

Products

1. **Bid Bond/ tender securities –** is a guarantee by a bank provided to a tendering institution by bidder, stating that the bidder, has capability to undertake the tendered project if selected by the institution.
2. **Performance Bond –** written guarantee by a bank/insurance company issued to a procuring entity on behalf of the winning bidder/contractor to guarantee successful completion of the awarded project/contract.
3. **Advanced Payment Guarantee-** is a guarantee issued by a bank on behalf of its clients to a procuring entity, to secure upfront payments for jobs awarded but not executed.

4. **Bank Guarantee –** is an assurance from a lending institution ensuring that liabilities of a debtor will be met.
5. **Letter of Credit –** written undertaking by a bank given to a seller (beneficiary) at the request and in accordance with a buyers (applicant) instruction to effect payment of a stated amount, against stipulated documents and within a prescribed time limit.

Product	**Definition**	**Features**
Bid Bonds	A Tender security/Bid bond is a guarantee by a bank provided to a tendering institution by a bidder, stating that the bidder, has the capability to undertake the tendered project if selected by the institution.	Processing within 1 hour Maximum amount:20,000,000 unsecured. Amounts above that require 10% cash cover. Tenor: Maximum 12 months Charge of 1.5%-2% per quarter with a minimum of Kshs. 3,500. **Key Documentation** Copy of the contract document calling for the bond/tender document Fill guarantee request form.
Performance Bond	Performance bonds are designed to ensure that goods are delivered, or services rendered in accordance with the terms of a contract.	Cash cover:10-20% of guarantee amount depending on the bank used. Conventional Security: Logbooks to cover 70%. Commission: 2% per quarter or a minimum of 1.5% per quarter. Customer deposits equivalent of Counter insurance to cater for the balance of the performance bond beyond the cash cover. **Key Documentation** Fill guarantee request form Audited financials for the last 2 years Copy of Contract award letter Performance bond wording template Copies of company registration certificate and latest CR12 Detailed company profile Last twelve months certified bank statements Copies of directors' ID's and KRA PINs Copies of complete and ongoing contracts Copy of the proposed collateral/security i.e. vehicle logbook.

Advanced Payment Guarantee	Advance Payment Guarantee is issued by a bank on behalf of its client to a procuring entity, to secure upfront payments for jobs awarded but not executed.	Access of up to 50% of the APG Conventional Security-Logbooks/Title deed to cover 50% Commission of 3% per quarter or a minimum of 2.5% per quarter **Key Documentation** Fill guarantee request form 3 Latest audited financials including latest management accounts Copy of Contract award letter APG wording template Copies of company registration certificate and latest CR12 Detailed company profile Most recent twelve months bank statements Copies of directors' ID's and KRA PINs Copies of completed and ongoing contracts Copy of the proposed collateral/security i.e. Title deed or vehicle logbook.
Bank Guarantee	A bank guarantee is an assurance from a bank ensuring that liabilities of a debtor will be met.	100% cash cover Commission of 2% per quarter **Key Documentation** Fill guarantee request form 3 Latest audited financials including latest management accounts Copy of Contract award letter Bank guarantee template Copies of company registration certificate and latest CR12 Detailed company profile Most recent twelve months bank statements Copies of directors' ID's and KRA PINs Copies of complete and ongoing contracts Copy of the proposed collateral/security i.e. Title deed or vehicle logbook.

General Requirements

1. Ability for the system to validate sufficiency of balance / limit before committing any transaction.
2. Ability to integrate with the company Anti Money Laundering System and validatebeneficiary AML status before processing.
3. Ability to manually authorize and approve / reject transactions identified by the

AML system or committee approved/ rejected applications.

4. Ability to review transaction details and approve it in the system. On approval do the following but not restricted to:
   i. System to pass necessary accounting entries
   ii. Voucher to be generated
   iii. If the Customer is under E-Banking, electronic copy of the voucher is mailed to the Customer
5. Ability to review transaction details and do the following:
   i. return transaction details back to the data entry personnel for modifications, ifrequired
   ii. cancel it in the system, if required
6. Ability to pass necessary accounting entries at each stage of the transaction

Trade Finance Accounting Process		
To recognize money the customer has deposited either through cash, M-Pesa cheque in the respective bank for the guarantee applied for.	DR	Respective bank
	CR	Member account
To recognize deduction of all charges that the bank has charged the Company as regards the guaranteed product.	DR	Member account
	CR	Respective bank
To recognize deduction of cash margin by the bank.	DR	Cash margin of respective bank
	CR	Respective bank
To recognize deduction of CRB (Credit reference bureau) charge by the Company.	DR	Member account
	CR	CRB income
To recognize deduction of CR 12 search charge by the Company.	DR	Member account
	CR	CR 12 report
To recognize income that has been earned from the guaranteed product.	DR	Member account
	CR	Guarantee income
	DR	Respective bank

When the guarantee expires the bank refunds the Company with the cash margin.	CR	cash margin of respective bank
When the guarantee expires the client will request for a refund of the cash margin VIA CHEQUE, MPESA OR CASH. In this step, the client account should go to zero. (if client had different products maturing different days then the account won't go to zero.)	DR	member account
	CR	Respective bank

Finance

Finance Module requirements

Requirement Subject	Requirement Description
Accounting and finance functions	The system should have the ability to handle the below accounting and finance functions; a) Chart of accounts: customizable; can one create multiple COAs, for generation of different reports with the following structure: Assets, Liabilities, Capital (net assets), Revenues, Expenses b) Category (current/long term or other account groups), by number ranges c) Branch code d) Transaction codes by type of transaction (user access to posting functions) e) Subsidiary ledgers (Facilities, Deposit, Account Payable, Account Receivable) f) Are these functions fully integrated? Integrated on-line and real time accounting modules g) Are they online and real-time functioning accounting modules?

	h) Support user defined accounting periods i) Ability to support drill down/ navigation feature on tracing transactions j) Ability to handle accrual accounting k) Ability to provide a balance sheet and P& L per business segment
Account Codes	The system should have a functionality. a) Provide flexibility to generate accounts based on predefined rules. b) To be able to retrieve the TB for previous years and not transactions only c) To facilitate segregation of revenue and expense accounts by division, department and work, cost, product, or profit center.
Batch Posting	The system should have the capability to: a) Create and post journal entries online or in batch b) Create multiple batches of journal entries at one time c) Allow validation to ensure only balanced batch entries are updated to the system (debits equal credits) d) Provide or allow "rolling-back" unfinished transaction posting feature. e) Does the system allow suspension of unbalanced batch for later posting? f) Maker-checker function at the posting of transactions and journal entries. g) Auto-serialization of journal entries and transactions posting.
Cash Receipts Journal/Bank Account Reconciliation	The new system must contain an integrated component that provides a cash receipts journal from which the posting of cash receipts/bank deposits from all sources (MPESA, AIRTEL Money, Automated Clearing House (ACH), credit cards, wire transfers, etc.) to the GL occurs. The banking feature is expected to automate the reconciliation of bank statement(s) to the respective GL account(s) including the ability to electronically import bank account data (deposits, checks and withdrawals, etc.) to match to the activity in the module.
Cash receipts/bank account reconciliation reports	Through a report menu, the user must be able to select/create reports produced by the system. At a minimum, these reports include: - Bank register - Bank deposits - Undeposited funds - Electronic receipts register - Unprocessed electronic receipts - Reconciliation report

	- Cash receipts journal - Recurring deposits
Transaction posting	The system should have the capability to process transactions with a consideration of. a) **Effective date/ Value:** the date from which profit is calculated for a transaction (e.g., date of the member deposit or withdrawal) for member and facility accounts per transaction type, per branch. b) **Transaction posting:** generate receipts, check vouchers, print passbook, print validation on documents c) The transactions should have **a unique identification code** to differentiate different nature of posting
Chart of Accounts	The System should have the ability to allow; a) Sharing of accounts across multiple years b) Possibility to allow for sorting of the chart of accounts c) Setting of financial periods d) Flexibility to arrange/rearrange chart-of-accounts structure. e) Allow for multi-currency & multi-entity
Reports	The system should have the ability to provide reports based on the following; a) Standard GL reports, exporting of TBs per branch and for the company. b) Standard reporting for Assets and Liabilities as per industry or IFRS9 requirement. c) Can the reports be customized, and printed demonstrate creating a custom report. d) Executive reports, MIS Reports, Daily Business Reports, Weekly, Monthly and Annual, Regulatory reports (Best Practice). e) At the minimum, we require summarized and detailed daily statement of profit or loss, and daily summarized and detailed statement of financial position per branch, per segment, and company. f) Profitability and income report, per sector, per staff, per branch per department. g) Variance Analysis against budget h) Report on member collection balances and member accounts/facilities per sector, per relationship officer, per branch, per region and department.
Journal Entry	The system should have the ability to; a) Query/View chart of account

	b) Populate warning alerts to users as set controls (e.g., if exceed a Dr or Cr allowed limit set threshold) c) Restrict manual debits on income GLs
Closings	The system should have manual triggers to initiate; a) Procedures to perform period end closing (Day, Month, year) b) Procedures to initialize P&L at year end c) Procedures to initiate year-end processing at any time after the end of the period and by authorized person with such password rights d) Minimum allowance for roll-back to post audit entries before closure of year-end.
Prepayments for Expenses	I. Ability to maintain a prepayments schedule Information required on the prepayments schedule a. Description b. Amount c. Start Date d. Duration e. End Date f. Monthly Expense g. GL to DR h. GL to CR i. Total Expensed j. Remaining Amount II. Ability to automatically amortize the prepaid amount monthly
Fixed Assets administration	I. Ability to maintain a fixed assets register Information required on the Assets Register a) Asset Category b) Asset Number c) Asset Name d) Supplier e) Asset Cost f) Physical Location g) Date of Purchase h) No of Years i) Rate of depreciation j) End of Useful Life k) Depreciation expense l) Accumulated Depreciation m) NBV Ability to execute depreciation on a straight-line method monthly at annual rates and starts after the

	purchase of the asset. If accounting policy ever changes, the other depreciation models should be available for customization. II. Ability to initiate and post Depreciation of the assets automatically every month end. III. Ability to capture the following information: a) Additions b) Pre-payments c) Work in progress d) Revaluations e) Disposals

Fixed Assets

Consider the below fixed assets categories and their respective depreciation rates:

Asset Category	Depreciation Years	Depreciation Rate
Office Equipment and Appliances	2	50%
Furniture and fittings	5	20%
Leasehold	4	25%
Motor vehicles	4	25%
Computer equipment	3	33.3%
Intangible Assets	4	25%

Inter Branch Accounts

Both member account transfers and GL transfer transactions will be supported between branches through inter branch accounts.

Requirement Subject	Requirement Description
Interbranch GL behaviors	All movement of funds between GL and interbranch GLs should have a clear trail for audit of the transactions The system should have an efficient way of transferring of staff and loan portfolios across branches The system should allow for efficient allocation of cost from Central office and between branches where the costs are incurred and expensed. All interbranch loans should be tagged to the rightful relationship officer even across branches. Any mishaps on the main interbranch GL should only be rectified by Finance The system should allow for bulk reassigning of portfolios between relationship officers in the event an officer leaves or is moved to another branch.

The system should be branch based in the sequence below and should consider growth.

Branch name	Branch Code
Central Office	0
Nairobi	1
Nakuru	2
Kiambu	3
Thika	4
Naivasha	5
Narok	6
Rongai	7
Kitengela	8
Meru	9
Kericho	10
Mombasa	11
Kariobangi	12
Nyeri	13
Eldoret	14
Kisumu	15

We should be able to spool Trial balance, financial reports per branch as well as consolidated for the company on an ad-hoc basis.

Chart of Accounts

The GL and chart of accounts will be shared separately.

Provide for foreign currency GLs to cater for loans and borrowings incurred.

Bonds/Treasury Bills and FX transactions

Requirement Subject	Requirement Description

Investment in bonds	The system should have the capability of maintaining investment bonds through the various accounts as below; 1. Investment in bonds-FVPL 2. Investment in bonds-HTM 3. Interest receivable on bonds 4. Interest income on bonds 5. Accrued interest purchased 6. Discount on bonds 7. Premium on bonds
Investments in Treasury bills	The system should have the capability of maintaining investment bonds through the various accounts as below; 1. Investment in Treasury bills 2. Unrealized gain/loss account 3. Realized gain/loss account 4. Interest income on treasury bills
Foreign currency transactions	We anticipate that there will be FX denominated loans. We intend to mark them to market every end of month and recognize the unrealized exchange profit/loss, and when payments are done, to recognize the realized gain/loss. Below are the accounts required 1. Realized exchange gains/losses-IS 2. Unrealized exchange gain/losses-IS

Funding

Consideration

1. Short Term
2. Long Term

Private Placements -Features

Product Definition	Private placement Is an investment Offering by the Company offered exclusively to clients as a private offer as defined in regulation 21 of the Capital Markets.
Product Features	— Interest rates are negotiable and is dependent on tenor of the Placement — Placement is booked for a year, but interest is dropped on member collection account quarterly — Investors can have unlimited receipts with different terms. — Minimum offer amount of Placement is Ksh 100,000 — Maximum offer amount of Placement is Ksh 100 million — Credit Interest is charged a withholding tax of 15% except for customers who have tax exemption.
Rate of Return	**Tenor (Month)** — **Rate of Return** Up to 3 months — 15% Up to 6 months — 16% Up to 9 months — 17% 1 year — 18% Above One Year — 20% Maximum interest rate booked is 20%

Requirement Subject	Requirement Description
Placement Registration	The system should have the ability to; — Allow member information maintenance — Allow member account approval (maker/Checker) — Allow receipt of funds from bank account to member account — Allow booking of funds and assigning receipts
Placement Management	Placement management system capabilities — Daily Interest accrual — Placement is booked for a year, but interest is dropped on member collection account monthly, quarterly,semi annually,tri-annually,yearly — Investor may choose to close placement receipt on maturity. — Notifications done on due dates — Withholding capture — Schedule monthly sending of placement statement to investors via email.

	— Lien placement amount booked that has secured a loan facility. Should the customer choose to rollover the instructions, the rollover instructions are: — Renew Principal + interest – the outstanding principal is to be rolled over with interest to a new placement receipt. — Renew Principal - Only the outstanding principal is to be rolled over to a new placement receipt. — Liquidate- Principal and interest accrued is posted to member collection account. — The interest accrued is paid to the customers member collection account. — No rollover – this is where the investor has not indicated the rollover instructions.
Reports	— The system should avail below reports; — All placement customers (static data) — All active placements — Active and closed receipts — Matured placement — Placement customers categories — Withholding tax reports per customer — Placement statement that shows the history of the placement(roll-overs/liquidations) — (See sample business request attached)
Placement product categorization	Placement accounts are categorized into the below; 1. HNIs 2. Corporates 3. SACCOS 4. Investment Groups 5. Fund Managers 6. Insurance Companies 7. Churches 8. Financial Advisors Each of these products should have a unique product code that should be used during placement customer onboarding such that the funds under each category can be identified separately. **Note:** Under the Financial Advisors product category, Each advisor account under this category should have the ability to have sub accounts of the customers they refer to be onboarded which should be readily identifiable under that

	specific advisor portfolio, when the overall placement register is accessed.

Private Placement Accounting Rules

Daily accrual transaction posting flow

Cr: Interest Payable

Dr: Interest Expense

Monthly Withholding Tax Payable

Dr: Interest Payable

Cr: Withholding Tax Payable

Liquidation Instruction -(Break)

Cr: Member Collection account

Dr: Placement account

Cr: Withholding Tax

Cr: Interest Payable

Dr: Interest Expense

Cr: Member Collection account

Dr: Interest Payable

Payment Voucher (to customer)

Cr: Bank account

Dr: Member Collection account

On Maturity – (Principal + Interest)

Cr: Member Collection account

Dr: Placement account

Cr: Member Collection account

Dr: Interest Payable

Payment Voucher (to customer)

Cr: Bank account

Dr: Member Collection account

Payment Voucher (from customer)

Dr: Bank account

Cr: Member Collection account

Roll Over Instructions - (Principal + Interest)

Cr: Member Collection account

Dr: Placement account

Cr: Member Collection account

Dr: Interest Payable

Cr: Placement account

Dr: Member Collection Payable

Note: Roll over (P) Consider above process

for roll over P+1 but include;

Payment Voucher (to customer)

Cr: Bank account

Dr: Member Collection account

Note: All entries in the system should have a clear way of getting the transaction trail for all contra entries.

Private Placement Glossary

Instruction		Meaning
Placement maturity instructions	1. Transfer all to member account	Client has requested to access all the funds after maturity period, or they will give further instructions thereafter.
	2. Renew principal	The client will access only the interest after placement maturity, principal should roll over for further period.

	3. Renew Principal & Interest	Client has requested not to access the interest or the principal. All funds should roll over for a further similar period under same terms.
Interest payment instructions	1. Weekly	The Interest to be paid weekly with weekly principal rollover.
	2. Monthly	The interest to be paid monthly with principal roll over
	3. Quarterly	The interest to be paid quarterly with principal roll over
	4. Bi-Annual	Client accesses interest twice a year the principal amount rolls over twice a year.
	5. Yearly	Client accesses the interest after one-year, principal rolls over yearly.
Booking frequency	30D	Interest is paid every 30 days
	90D	Interest is paid every 90 days
	91D	Interest is paid every 91 days
	182D	Interest is paid every 182 days
	210D	Interest is paid every 210 days
	365D	Interest is paid every after 365 days
	other	

Private Placement Report Templates

The System should be able to generate among others the below placement statements and reports;

i. Member Placement report
ii. Member Placement statement
iii. Withholding Tax report
iv. Sector report

Long Term Borrowings

Considerations

1. Term Loans from Financial Institutions e.g., banks
2. Venture funding

Long Term funding accounting rules

Recognize funds receipt

Dr: Bank

Cr: Investor GL – Liability

Interest accrual

Dr: Interest Expense

Cr: Interest Payable – Liability

Payment of Interest to Investor

Dr: Interest Payable

Cr: Bank

Cr: Withholding Tax

Risk and Audit

Requirement Subject	Requirement Description
Risk and Audit	The system should have the capabilities of identifying and mitigating risks relating to the core nature of the business (Lending) aligned to; i. Credit Risk ii. Operational Risk iii. Market Risk iv. Liquidity Risk a) The Risk Management Module should have the capabilities to allow rating of customers, risk scoring, loan loss indicator, liquidity barometer etc. b) The system should offer centralized concept for limit management at different levels (Maker/Checker), limit interchange ability, collateral management, risk management and exposure monitoring with tracking as defined per set parameters by the risk officers.
AML	The system should have the capability to demonstrate the following: a) Profiling b) Watchlist filtering/blacklisting members for various reasons, e.g., fraudsters, serial defaulters, politically exposed persons (PEP), tax-cheats, terrorism financiers etc. c) The system should have the capability to provide an archive and storage of the blacklist which the audit officers should be able to update during the normal cause of business. d) Transaction monitoring both broken and onerous that meet declaration limit. e) Detection of potentially suspicious activity f) Alerts case management g) Workflow and workflow violation in all modules h) Reporting to designated emails on exceptions or violations i) Management reporting.

Case Management Module/Workflow	The system should have the capability to provide workflow enquiries to show: a) how many exceptions are outstanding at any given time after being reported, this can restrict end of day processes until solutions are provided. b) who has responsibility for resolving them (as an alert or pop up) c) how long they have been outstanding what their investigation status is (procedure on how to resolve the issues) d) An automated exception report from which a case may be created is to be instigated. Allows for internal incident reports to be lodged and tracking for resolution. e) The system is to accommodate a hierarchy of anti-money laundering officers
Audit control	**Logs** a) The solution should have the ability to record activities on the entries and report by day, user, workstation used for predetermined periods. b) Error logs c) Users viewing customer data d) Accessed system utilities with username, time and workstations e) All maintenance activities f) Logs should not be altered/editable g) Access to classified accounts /GLs should relay alerts to the executive **System Security** a) Security authorization-There should be a detailed structure of authorization with ability to control access to the CBS at the following levels b) Control access to individual users and group of users c) Control access to information in a particular functional area e.g., certain accounts d) Control the type of access at each of the level described above: read only, create, update etc. e) Solution that does NOT allow deletion of any transaction-Whenever application is updated, the original information should remain in the application as an audit trail-The application should maintain information on who made the changes and when. **Additionally** Ability to support an audit data mining tool-directly from database.

Compliance coding and maintenance	a) Demonstrate ability to support transaction limit monitoring capabilities (as defined for group of customers, specific customer, account, products or other user requirements) b) Demonstrate ability to mark high risk accounts e.g., blacklisted & watchlist accounts, dormant accounts. c) Demonstrate ability to monitor transactions affecting sanctioned entities or individuals. d) Demonstrate ability to maintain the sanction database in the core banking system. The updates should originate from a credible approved sanction list e.g. UN Security Council (UNSC) list. e) Allows updates (patches or comprehensive) for compliance with additional regulations (both self & industry) should the need arise.

Information Technology

Requirements Subject	Requirement Description
IT Department Functions	a) **User Administration** - User creation, Role center personalization, granting of user role-based rights, Setup and creation of workflows per function, activity and role. Giving access to the system (Log in\Log out of users)
	User\Functional Support - Gathering, analysis, documentation, and issue resolution. Level I, Level II and Level III support. Coordination with system developers for level IV support.
	b) **Monitoring and configuring of system processes and services** - -Ensuring automatic process/Manual (Interest billing and posting & penalty billing and posting) are running. -Email and SMS Services. -Administering key services on windows server are running. c) **Database Administration** - Performing daily backups and restoration. Database optimization, Writing of SQL scripts to query the database. Creating and issuing of various reports d) **Core banking system policies enforcement** - Security i.e., Authorized access/access time, password policies, Data policies (Role/function access) e) **User training** – Performing periodic user training (Knowledge transfer) f) **Documentation**- System processes and functional documentation. Creation of IT department training manuals. g) **Audit trails** - Performing of audit trails and analysis at the system user interface level (Functional) and at the database level for detection and systematic correction of errors.
Merits to retain from old system	• Availability of different system modules – Finance, Credit, Member Registry, Private placement (FD) modules with setups for each module.
	• Ease of integration with alternate channels/third party systems - Mobile Banking, SMS gateway, CRBs, others include Cheque management and card management.
	• Availability of system documentation and learning materials online.
	• Availability of highly customizable role centers.
	• Availability of client-side audit trail functionality
	• Availability of performance dash boards -Graphical charts reporting and Business Intelligence reporting (Must be configured by the developer)

	• Easy to export and save documents in various formats word, excel, pdf and printing direct from the system.
	• Clearly detailed system processes (Set to ready, set on hold, Restart, Create reports and Log entries)
	• Data classification capabilities (Sensitive, Personal, Normal, Confidential)
	• Availability of versioning which increases major bugs and system security issues (Microsoft)
	• Availability of automation capability and a manual process as back up.
	• Automated EOD, EOM, EOY processes.
	• Policies enforcement i.e., data, passwords, and system idle time.
	• User intuitive interface and presentable GUI design.
Wishlist	**Hardware, Software and Operating system specifications** -Storage requirements -Back up requirements -Requirements for the mirroring back up site
	Primary data center and back up site requirements Database applications (Oracle, MySQL Server) Reporting services, (BI reporting), in-built reports, customizable reports. -Bandwidth requirements The software should run over a WAN IPSec VPN
	Software requirements The software should be able to use features of the specified operating system(s) The system should allow engineering, customizing and develop new products and functional specifications/changes without or with minimal coding The system should have different modules (Fully integrated) i.e. procurement Module, HR module, EDMS Module, Finance, Credit, Operation, Registry, Administration and Fund Modules and setups for each -System should have the capability to monitor web-services, application service and database services - The system should be web enabled and have light desktop applications to be installed on tablet devices The system should have a query/reporting tool and BI reporting. The system should allow printing and use of standard printer drivers - Batch processing capabilities

	Databases and data management - the system should use commercially available database such as Oracle, MySQL Server (recommendations) Database specifications e.g., Size The system should support centralized processing i.e., branch, agency and a mobile organizational structure Availability of a test environment for any functional changes before deployment to the production environment - Database querying to manage system data, make changes, resolve any issues.
	Performance Availability of tools that allows the bank to optimize, conduct performance testing, including load and stress testing. -Allow multiple concurrent access (What is the maximum) Automated EOD, EOM and EOY processes - Ability to mark pending transactions, flag any unbalanced transactions during the above processes -
	Backup and Recovery -Ability of the system to handle failure conditions and system crashes (System based and server based) Time to recover when connections are re-established Internal transaction processing controls including the capability in the event of a system failure the system should automatically back out incompletely processed transactions, restore the system to its last consistent state before the failure occurred Restart capabilities for application's on-line and batch processing components.
	Security -Data security controls on the system for data at rest, data on transit or data transmissions. Varying levels of update, view only, save only, add, approvals, reviews and maker/checker capabilities. -Audit trails of access and changes, record access activity, all log in/log out /workstation/user/timestamp -Transaction identification i.e. entry no. , document no(journals/receipts), User ID and computer ID - Submitted transactions/Initiated processes/direct additions/modifications -Password policies (8 characters minimum, no password reuse, monthly password period, User initiated password change, no remember of passwords, System Idle time, Multiple log in restrictions) - System ability to audit minimum requirements username, branch, transaction date & time, Ip address, computer name, department, browser -Creation of user profiles/roles capabilities, independent control for the creation/allocation of user rights/password -Limitation of transaction amount per user input/authorize definable at the product/account/role/user level -Time based user access (User can only on weekdays, user

	locked out period - on leave) -Maker/Checker on all transactions -Control of printing of specific reports -Encryption of passwords -Versioning capability of the system (Upgrades/patching/bug fixing) - Restricted exporting/saving in different file formats - Statements/documents customization to company standards - Modules integrations/applications interoperability - Mouse activated icons, buttons, scroll bars, drop down lists(transaction level), check boxes, menu bars, Text boxes, Resizable windows, restricted cut, copy and paste functions. - Interoperability - APIs and Electronic Data Interchange (EDI) Ability to hold API submitted transactions that do not pass required edits in suspense pending appropriate corrective actions by user. suspense processing must include the ability to view, update or delete suspended transactions, automatically re-process suspended transactions i.e., M-Pesa -Alternate channels Mobile banking, internet banking, cards.
	Workflows/Messaging -Create workflows per department, user groups, function, Process at approval levels. Definitions of multiple levels of document approvals based on a defined criteria including amounts, items, document types. Ability to track approval events time/date and approving party. - Messaging and notifications i.e., warning messages, feedbacks, notifications - Emailing/SMS notifications and capabilities externally and internally i.e., pending transactions/approvals - Reports for external emails Audit capabilities sent emails/failed /pending
	Automated processes - Scheduling capabilities to initiate, monitor, pause and stop scheduled processes. Reports and log files for each report per function and per department. -Alternative back up/ manual processes for the automated processes.

	Reporting -System ability to export data in different formats (Excel, CSV, PDF, Word) -System report scheduling -Design and report writer functionalities, drag and drop -Built in standard reports -MIS reporting and profitability graphs
	Ease of Use - Data validation for valid date fields, birthdates, minimum and maximum values, mandatory fields Notifications, warnings i.e., pop ups user tutorial, manuals and documentation Trainings - Onsite/Offsite
	Vendor support and technical assistance 24/7 online support On Premise support Documentation of issues raised, resolved (Emails and other platforms) for reference and tracking - Availability of issue resolution matrix (Factors considered), Timelines for issue resolution.

Integrations

Requirement Subject	Requirement Description
3rd Party Integrations	We expect that the below existing systems will be integrated with the core banking system I. M-Pesa Paybills C2B II. SMS Gateway III. M-Pesa transaction receipts.

Integration Requirement	A test on all API integrations should be conducted to confirm that; i. application endpoints and data sharing functions work as expected ii. junk data/test data does not enter the main database and create application problems or data corruption iii. all application functions across all platforms, including desktop, web or mobile as per the business requirement iv. data feeds from the various integrated systems are sent as expected to the desired locations/ repositories. v. Data access and security is as expected. A sign off on this from the related parties will be expected.

Static Data Migration

This process will entail migration of active customers' data and balances only.

1. The agreed historical data cutoff date for migration and data will be moved with effect at an agreed date and time based on the kickoff meeting between the Company and Eazzy Books.
2. The Core banking vendor will move client data which will include but not limited to:
   a) All open accounts with their respective closing balances as at the agreed date during the kickoff meeting
   b) Customer KYC information associated with the customers and accounts moved. This includes account images, reminders, operation mandate, special condition etc.
   c) System products, product features and the tariff settings. Charges will be created afresh.
   d) Loan parameters
   e) Transaction balances for customer and general ledger statement as the agreed date during the kickoff meeting
   f) GL numbers and grouping shall not change. **(See Chart of Accounts)**
   g) Client number shall be regenerated to an incremental running number of 11 digits that contains branch code, product code and the customer number.
   h) Charges parameters as per the product settings should be considered.
   i) Charges: All other system charges should be held in lien and charged when the account gets funded for instance ledger fee, minimum fee, cheque books etc.

Migration Audit

After a successful data migration, we will conduct data audit; the audit shall aim at determining the following:

- Correct customer data have been migrated. This includes customer balances, record count, and client information and account details.
- General ledger accounts and balance are correctly migrated. All general ledger accounts shall be included in all branches.
- Validation of loan balances per account and migrated from (Insert previous CBS) to Eazzy Books and also the regenerated schedules.
- Proper mapping of products to retain the current product features
- Any other needed data audit shall be done.

Reports

Additional report as per the business request should be easily availed on need basis.

The system should dump selected reports after system closure and start of day at a designated folder for access. The reports include loan list, Trial balance, member list, PAR report & funding department reports.

Credit Department List of Reports

1. Loan List
2. Loan details Analysis – PAR
3. Loan repayments
4. Collateral listing

All reports to be per individual, branch, segment & company

SMS Templates

Disbursement SMS

Dear *client name*, Your loan of Ksh…… has been disbursed. Thank you for choosing us.

Loan Repayment SMS

Dear *client name*, your loan is due payment in 7 days, kindly purpose to clear before the due date. For queries call 07xx xxx xxx.

Dear *client name*, your loan is due for payment today, kindly clear as agreed. For queries call 07xx xxx xxx.

Dear *client name*, your loan is in arrears of Ksh 92,253. Pay today to avoid penalties. For queries call 07xx xxx xxx.

Dear *client name*, your loan is in arrears and continues to attract a penalty of 5%, purpose to clear the arrears.

Dear *client name*, your has been in arrears over three months now, note that failure to clear the arrears, we shall proceed to advertise and dispose the vehicle without any further reference to you in the next 14 days. For queries call 07xx xxx xxx.

Insurance Expiry SMS

Dear *client name*, Comprehensive insurance for KAA 001A expires in 30 days, make plans to have it renewed. For queries call 072xxxxxxxxx

Investor Relations Department List of reports

1. Placement register
2. Placement report
3. Savings Report
4. Withholding Tax register
5. Email alert to placement teams group email on placements falling due

Private Placement Email notification

Email: Investments@xxxxx.co.ke

Subject: Private Placement eStatement as at December 31, 2021

Dear Bancy,

We sincerely thank you for your continued business support.

Please find attached your private placement eStatement as at **December 31, 2025**

For any clarification, please contact your Relationship Manager or the below contacts

Email: investments@xxxxx.co.ke

Phone:07xx xxx xxx

Thank You

Finance Department List of Reports

1. Balance Sheet
2. Income Statement
3. Trial Balance
4. Commission Payment
5. Revenue Assurance Report

Report Templates

(See annexures)